Quarterly Report

of the „DINO POLSKA" S.A. Group

for Q3 2023

Unofficial translation. Only the Polish version is binding.

DINO POLSKA Spółka Akcyjna (“Dino”, “Dino Polska”, “Company”, “parent company”)
Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company’s share capital as at 30 September 2023 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Q3 2023 Report”, “Report”) comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska Group (“Group”, “Dino Group”) for the third quarter of 2023 (“Financial Statements”), the Company’s condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 2 November 2023 (“Report Date”).

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2023-30.09.2023	***01.01.2022-30.09.2022***	***01.01.2023-30.09.2023***	***01.01.2022-30.09.2022***
Sales revenue	18,968,302	14,108,719	4,143,994	3,009,539
Operating profit	1,416,301	1,100,090	309,418	234,661
Profit before tax	1,305,245	996,491	285,156	212,562
Net profit	1,056,882	803,883	230,896	171,477
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	10.78	8.20	2.36	1.75
Cash flow from operating activities	1,458,241	909,753	318,581	194,060
Cash flow from investing activities	(833,942)	(1,117,242)	(182,191)	(238,320)
Cash flow from financing activities	(368,446)	254,320	(80,494)	54,249
Net change in cash and cash equivalents	255,853	46,831	55,896	9,990

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2023: 4.5773
- NBP's average exchange rate for Q1-Q3 2022: 4.6880

	PLN 000s		EUR 000s*	
	30.09.2023	***31.12.2022***	***30.09.2023***	***31.12.2022***
Total assets	9,757,676	9,003,059	2,104,943	1,919,670
Total non-current assets	6,856,445	6,296,353	1,479,085	1,342,535
Total current assets	2,901,231	2,706,706	625,859	577,135
Equity	5,260,665	4,203,783	1,134,840	896,348
Share capital	9,804	9,804	2,115	2,090
Non-current liabilities	986,880	1,109,149	212,892	236,497
Current liabilities	3,510,131	3,690,127	757,212	786,824

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2023: 4.6356
- NBP's average exchange rate as at 31 December 2022: 4.6899

2. Management Board Activity Report

2.1. Operations of the Dino Polska Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 September 2023, the Dino network consisted of 2,340 stores with a total selling area of 921,434 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 969, i.e. 71%, in the period of three years up to 30 September 2023. Its geographic expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the period of January-September 2023 stood at 20.6% compared to the corresponding period of 2022. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on eight distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, should enhance the Dino Group's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

Dino Polska gives consideration to risks related to its climate impact and the climate's impact on the business model selected by Dino Polska. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Group. In 2023 Dino Polska has continued to install photovoltaic panels on the rooftops of Dino stores and on the premises of its distribution centers whereby the Dino Group's electricity demand is being satisfied to a greater degree by renewable energy sources. The number of Dino stores outfitted with their own photovoltaic installations rose from 1,701 at the end of 2022 to 2,010 at the end of September 2023. At the same time, renewable energy sources installations were commissioned in 2023 on the premises of two of Dino's distribution centers. The total capacity of the PV installations owned by Dino Polska climbed over the last 12 months by 46% to 78 MW. In the period from January to September 2023 Dino Polska generated 60.0 GWh of electricity from the sun versus 34.5 GWh in the corresponding period of 2022.

2.1.2. Recap of the Dino Group's operations in Q3 2023

In Q3 2023 the Dino Group's revenue was PLN 6,875.3 million, meaning it was up by PLN 1,507.5 million, i.e. 28.1% higher than in Q3 2022. Concurrently, the cost of sales climbed 29.5% to PLN 5,282.4 million. Year-to-date, in the first 9 months of 2023 the Dino Group's revenue totaled PLN 18,968.3 million and was up PLN 4,859.6 million, or 34.4% higher compared to the corresponding period of 2022. At the same time, the cost of sales rose 36.7% to PLN 14,577,958 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	Q3 2023	Q3 2022	change	Q1-Q3 2023	Q1-Q3 2022	change
Sales revenue	**6,875,330**	**5,367,782**	**28.1%**	**18,968,302**	**14,108,719**	**34.4%**
Cost of sales	(5,282,407)	(4,080,600)	29.5%	(14,577,958)	(10,660,472)	36.7%
Gross profit on sales	**1,592,923**	**1,287,182**	**23.8%**	**4,390,344**	**3,448,247**	**27.3%**
Other operating income	3,361	2,264	48.5%	9,736	7,647	27.3%
Sales and marketing expenses	(989,032)	(785,586)	25.9%	(2,857,766)	(2,241,898)	27.5%
General administration expenses	(47,025)	(39,784)	18.2%	(120,279)	(103,815)	15.9%
Other operating expenses	(1,732)	(4,552)	-62.0%	(5,734)	(10,091)	-43.2%
Operating profit	**558,495**	**459,524**	**21.5%**	**1,416,301**	**1,100,090**	**28.7%**
Financial income	2,906	1,213	139.6%	7,697	2,505	207.3%
Financial expenses	(37,857)	(41,530)	-8.8%	(118,753)	(106,104)	11.9%
Profit before tax	**523,544**	**419,207**	**24.9%**	**1,305,245**	**996,491**	**31.0%**
Income tax	(99,509)	(79,837)	24.6%	(248,363)	(192,608)	28.9%
Net profit	**424,035**	**339,370**	**24.9%**	**1,056,882**	**803,883**	**31.5%**

In Q3 2023 profit measured by EBITDA grew year on year by 21.2% to PLN 649.5 million. The EBITDA margin was 9.45% versus the 9.99% margin posted one year ago. Year-to-date, in the first 9 months of 2023 profit measured by EBITDA grew year on year by 27.3% to PLN 1,679.1 million. The EBITDA margin was 8.85% versus the 9.35% margin posted one year ago.

The following table presents EBITDA.

(PLN 000s)	Q3 2023	Q3 2022	change	Q1-Q3 2023	Q1-Q3 2022	change
Net profit	**424,035**	**339,370**	**24.9%**	**1,056,882**	**803,883**	**31.5%**
Income tax	(99,509)	(79,837)	24.6%	(248,363)	(192,608)	28.9%
Result on financing activity	(34,951)	(40,317)	-13.3%	(111,056)	(103,599)	7.2%
EBIT	**558,495**	**459,524**	**21.5%**	**1,416,301**	**1,100,090**	**28.7%**
EBIT margin	8.12%	8.56%	-	7.47%	7.80%	-
Depreciation and amortization	(91,005)	(76,517)	18.9%	(262,844)	(219,373)	19.8%
EBITDA	**649,500**	**536,041**	**21.2%**	**1,679,145**	**1,319,463**	**27.3%**
EBITDA margin	9.45%	9.99%	-	8.85%	9.35%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in current stores (like for like, LfL)[1]. LfL sales growth in Q3 2023 was 16.3%, compared to the corresponding period of 2022. In January-September 2023 LfL sales growth was 20.6%.

[1] *Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.*

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2023			Q1-Q3			2022	2021	2020
	Q3	Q2	Q1	2023	2022	2021			
Inflation (deflation)	9.7	13.1	17.0	13.2	13.3	4.2	14.4	5.1	3.4
Food price inflation ...	12.9	18.8	22.9	18.0	13.2	2.0	15.4	3.2	4.7
Dino's LFL	16.3	20.3	27.2	**20.6**	**28.3**	**9.9**	**28.5**	**12.4**	**12.6**

Fresh products, including meat, cold cuts and poultry, accounted for 38.9% of the Group's sales in Q3 2023 and for 40.3% in the January-September 2023 period.

The table below shows the structure of sales revenues by product in individual periods.

%	**Q3 2023**	**Q3 2022**	**Q1-Q3 2023**	**Q1-Q3 2022**
Fresh products	38.9	38.9	40.3	39.0
Other groceries*...	50.2	50.0	48.3	49.2
Non-grocery products	10.9	11.1	11.4	11.8

** in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes*

Dino store network roll-out

In Q3 2023, 68 new Dino stores were opened. Year-to-date since the beginning of 2023, 184 new stores have been opened in total. As at 30 September 2023, the Dino network numbered 2,340 stores.

The following table presents information on the Dino Group's number of stores as at specified dates.

	As at 30 September		**As at 31 December**		
	2023	**2022**	**2022**	**2021**	**2020**
Number of new store openings (YTD).............................	184	256	344	343	255
Total number of stores	**2,340**	**2,069**	**2,156**	**1,815**	**1,473**
Total selling area (m^2)	921,434	812,601	847,817	710,433	573,489
Growth of sales area y/y...	13.4%	21.9%	19.3%	23.9%	21.4%

Cost of sales

The cost of sales was 76.8% and 76.0% of revenue, respectively in Q3 2023 and Q3 2022. The cost of sales rose PLN 1,201.8 million, i.e. by 29.5% to PLN 5,282.4 million in Q3 2023 compared to PLN 4,080.6 million in Q3 2022, with a corresponding 28.1% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino store network and rising sales in the current store network (LFL). To a lesser extent, it was also driven by higher prices to purchase merchandise.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 203.4 million, i.e. 25.9% to PLN 989.0 million in Q3 2023 compared to PLN 785.6 million in Q3 2022. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales in existing stores, thereby forcing it to incur the higher costs associated with store upkeep and storage of merchandise.

General administration expenses

General administration expenses rose PLN 7.2 million, or 18.2%, to PLN 47.0 million in Q3 2023 compared to PLN 39.8 million in Q3 2022. This was caused mainly by the expansion of the Dino store network (some administrative functions expanded in line with the Dino store network's roll out).

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q3 2023	Q3 2022	change	Q1-Q3 2023	Q1-Q3 2022	change
Depreciation and amortization	91,005	76,517	18.9%	262,844	219,373	19.8%
Consumption of materials and energy	618,812	459,304	34.7%	1,802,466	1,211,975	48.7%
External services	216,950	162,441	33.6%	511,265	453,644	12.7%
Taxes and fees	121,156	91,825	31.9%	343,492	251,805	36.4%
Costs of employee benefits	708,929	541,572	30.9%	2,037,887	1,556,360	30.9%
Other costs by nature	31,573	23,002	37.3%	80,842	55,890	44.6%
Cost of goods and materials sold	4,535,947	3,553,916	27.6%	12,527,058	9,265,699	35.2%
Total costs by nature, including:	**6,324,372**	**4,908,577**	**28.8%**	17,565,854	13,014,746	**35.0%**
Items captured in cost of sales	5,282,407	4,080,600	29.5%	14,577,958	10,660,472	36.7%
Items captured in sales and marketing expenses	989,032	785,586	25.9%	2,857,766	2,241,898	27.5%
Items captured in general administration expenses	47,025	39,784	18.2%	120,279	103,815	15.9%
Movement in products	5,908	2,607	126.6%	9,851	8,561	15.1%

Total costs by nature rose PLN 1,415.8 million, or 28.8, to PLN 6,324.4 million in Q3 2023, compared to PLN 4,908.6 million in Q3 2022, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 982.0 million), (ii) consumption of materials and energy (up PLN 159.5 million) and (iii) costs of employee benefits (up PLN 167.4 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 167.4 million, i.e. 30.9% to PLN 708.9 million in Q3 2023 compared to PLN 541.6 million in Q3 2022. This growth resulted primarily from the number of Dino Group employees growing from 35,652 as at 30 September 2022 to 40,320 as at 30 September 2023 in connection with the Dino Group’s expanding business size and the related expansion of the Dino Group’s store network and rising LFL sales in the existing network and from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 159.5 million, or 34.7%, to PLN 618.8 million in Q3 2023 compared to PLN 459.3 million in Q3 2022. This growth was caused by the Dino Group’s growing business size, the related expansion of the Dino store network, rising LFL sales in the current store network and price hikes on materials and electricity.

External services, which comprised in particular transportation and maintenance services increased by PLN 54.5 million, or 33.6%, to PLN 217.0 million in Q3 2023 compared to PLN 162.4 million in Q3 2022. This growth was caused by the Dino Group’s growing business size, the related expansion of the Dino store network, rising LFL sales in the current store network and inflation on the prices for external services.

Financial expenses

Dino Group’s financial expenses fell PLN 3.7 million, or 8.8%, to PLN 37.9 million in Q3 2023 compared to PLN 41.5 million in Q3 2022. This decline ensued the diminishing level of debt.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	**30.09.2023**	**30.06.2023**	**31.12.2022**	**30.09.2022**	**Change 30.09.23 / 31.12.22**	**Change 30.09.23 / 30.09.22**
Property, plant and equipment	6,638,146	6,417,838	6,070,032	5,791,292	9.4%	14.6%
Right-of-use assets	100,417	108,249	105,116	124,850	-4.5%	-19.6%
Intangible assets	92,409	93,767	94,737	95,872	-2.5%	-3.6%
Deferred tax assets	25,473	25,227	26,468	26,939	-3.8%	-5.4%
Total non-current assets	**6,856,445**	**6,645,081**	**6,296,353**	**6,038,953**	**8.9%**	**13.5%**
					-	
Inventories	1,973,446	1,957,737	1,978,778	1,558,025	-0.3%	26.7%
Trade and other receivables	197,293	220,004	274,872	135,170	-28.2%	46.0%
Other non-financial assets	90,670	103,928	69,096	68,946	31.2%	31.5%
Other financial assets	1,251	1,162	1,242	1,332	0.7%	-6.1%
Cash and cash equivalents	638,571	479,168	382,718	465,446	66.9%	37.2%
Total current assets	**2,901,231**	**2,761,999**	**2,706,706**	**2,228,919**	**7.2%**	**30.2%**
TOTAL ASSETS	**9,757,676**	**9,407,080**	**9,003,059**	**8,267,872**	**8.4%**	**18.0%**

Total assets increased by PLN 754.6 million, i.e. 8.4%, from PLN 9,003.1 million as at 31 December 2022 to PLN 9,757.7 million as at 30 September 2023. Compared to 30 September 2022, total assets rose by PLN 1,489.8 million, or 18.0%. As at 30 September 2023, the main components of total assets were: (i) property, plant and equipment (constituting 68.0%) and (ii) inventories (constituting 20.2%).

Non-current assets increased by PLN 560.1 million, or by 8.9% from PLN 6,296.4 million as at 31 December 2022 to PLN 6,856.4 million as at 30 September 2023. This increase was caused mainly by an increase in property, plant and equipment, which in turn was caused primarily by the growth of the Dino Group sales network (new Dino stores) and capital expenditures.

Current assets increased by PLN 194.5 million, i.e. 7.2%, from PLN 2,706.7 million as at 31 December 2022 to PLN 2,901.2 million as at 30 September 2023. The increase was caused mainly by cash and cash equivalents moving up by PLN 255.9 million, which in turn was precipitated by the Dino Group's expanding business size.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	**30.09.2023**	**30.06.2023**	**31.12.2022**	**30.09.2022**	**Change 30.09.23 / 31.12.22**	**Change 30.09.23 / 30.09.22**
Equity	**5,260,665**	**4,836,630**	**4,203,783**	**3,874,073**	**25.1%**	**35.8%**
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	4,649,963	4,649,963	3,512,022	3,512,021	32.4%	32.4%
Retained earnings	593,398	169,363	674,457	344,748	-12.0%	72.1%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	**5,260,665**	**4,836,630**	**4,203,783**	**3,874,073**	**25.1%**	**35.8%**
Interest-bearing loans and borrowings	533,064	597,808	690,862	815,121	-22.8%	-34.6%
Lease liabilities (LT)	35,677	37,213	34,673	36,636	2.9%	-2.6%
Other liabilities	90	120	120	120	-25.0%	-25.0%
Liabilities by virtue of outstanding securities (LT)	370,000	370,000	370,000	620,000	0.0%	-40.3%
Provisions for employee benefits	5,794	5,794	5,794	4,827	0.0%	20.0%
Deferred tax liability	42,255	43,477	7,700	23,412	448.8%	80.5%
Total non-current liabilities	**986,880**	**1,054,412**	**1,109,149**	**1,500,117**	**-11.0%**	**-34.2%**
Trade and other payables	2,707,649	2,726,956	2,794,077	2,375,970	-3.1%	14.0%
Current part of interest-bearing loans and borrowings	334,768	364,475	410,157	346,105	-18.4%	-3.3%
Lease liabilities (ST)	16,166	17,166	17,893	21,130	-9.7%	-23.5%
Liabilities by virtue of outstanding securities (ST)	260,387	259,993	260,947	8,553	-	2944.4%
Income tax liabilities	89,960	35,912	120,034	62,088	-25.1%	44.9%
Accruals and deferred revenue (ST)	100,236	110,571	86,054	77,892	16.5%	28.7%
Provisions for employee benefits and other provisions	965	965	965	1,944	0.0%	-50.4%
Total current liabilities	**3,510,131**	**3,516,038**	**3,690,127**	**2,893,682**	**-4.9%**	**21.3%**
Total liabilities	**4,497,011**	**4,570,450**	**4,799,276**	**4,393,799**	**-6.3%**	**2.3%**
TOTAL EQUITY AND LIABILITIES	**9,757,676**	**9,407,080**	**9,003,059**	**8,267,872**	**8.4%**	**18.0%**

As at 30 September 2023, the main components of liabilities were: (i) trade and other payables representing 60.2%; (ii) interest-bearing loans and borrowings (long-term) representing 11.9% thereof and (iii) liabilities under outstanding securities representing 8.2%. Total liabilities fell PLN 302.3 million, i.e. 6.3%, from PLN 4,799.3 million as at 31 December 2022 to PLN 4,497.0 million as at 30 September 2023, mostly due to the decline in the level of debt.

The Dino Group's net debt[2] stood at PLN 911.5 million as at 30 September 2023, signifying a decline of PLN 490.3 million compared to 31 December 2022. The net debt to EBITDA ratio for the last 12 months was 0.41x as at 30 September 2023. As at 31 December 2022 this ratio was 0.76x.

[2] *Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.*

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	Q3 2023	Q3 2022	change	Q1-Q3 2023	Q1-Q3 2022	change
Net cash from operating activities, including:	567,590	460,872	23.2%	1,458,241	909,753	60.3%
profit before tax	523,544	419,207	24.9%	1,305,245	996,491	31.0%
depreciation and amortization	91,005	76,517	18.9%	262,844	219,373	19.8%
movement in working capital	(52,215)	(40,124)	30.1%	30,878	(213,108)	-
other	5,256	5,272	-0.3%	(140,726)	(93,003)	51.3%
Net cash from investing activities	(270,096)	(393,286)	-31.3%	(833,942)	(1,117,242)	-25.4%
Net cash from financing activities	(138,091)	244,700	-	(368,446)	254,320	-
Net increase in cash and cash equivalents	159,403	312,286	-	255,853	46,831	-

The Dino Group generated PLN 567.6 million in net cash from operating activities in Q3 2023. In Q3 2022 cash flow was PLN 460.9 million.

Net cash flow from investing activities totaled minus PLN 270.1 million in Q3 2023 and was up 31.3% over Q3 2022. The level of capital expenditures is related chiefly to network development involving new Dino stores. In addition, in Q3 2023 the construction of the Company's ninth distribution center in the town of Bolewicko in the Greater Poland region was underway.

2.1.3. Factors impacting Dino's operations and results

The Dino Management Board is of the opinion that the following factors may exert an impact on the Dino Group's business and results up to the end of 2023, and also in subsequent quarters:

- the pace of new store openings by Dino Polska and the related capital expenditures; the Management Board's priorities in subsequent quarters entail restrictively selecting sites for new Dino stores to keep the inflation in the costs of store construction at the lowest possible level while simultaneously limiting the usage of debt financing; the Company's Management Board expects that in 2023 the total number of Dino stores will grow by a percentage in the low teens compared to the number of stores at the end of 2022; a similar growth rate of the store network is expected in 2024;
- rising prices of consumer goods and services, which may adversely affect the purchasing power of consumers and their willingness to spend money, and as a result on sales in Dino stores;
- macroeconomic situation in Poland, also accompanied by the minimum wage hike and the operation of social programs protecting consumers' disposable income and spending on the consumption of consumer staples;
- rising costs of conducting operating activity, which when faced with the slower pace of the Dino Polska Group's top line growth may exert pressure on the Group's profitability.

One special factor that may affect Dino Polska's business in subsequent quarters is the war in Ukraine. Although Dino Polska does not operate outside Poland and it does not procure products in Russia while products from Ukraine represent a small portion of sales, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural products and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to even higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of DINO POLSKA S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary[3]	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the H1 2023 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the H1 2023 report). Piotr Ścigała, a Management Board Member, did not hold any Company shares as at the Report Date, or on the publication date of the H1 2023 report.

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above (no change compared to the status on the publication date of the H1 2023 report), Eryk Bajer jointly with a controlled entity (Supervisory Board Member) – 36,307 shares (increase of 4,153 shares compared to the status on the publication date of the H1 2023 report) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares (no change compared to the status on the publication date of the H1 2023 report).

2.3. Operating Segments

The DINO POLSKA S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network. Its revenues may be broken down by product group. The Company's Management Board does not analyze results in various product groups by allocating direct costs or justified indirect costs to them. Since the smallest area of business for which the Management Board reviews the profitability ratio is the level of the DINO POLSKA S.A. Group as a whole, only one operating segment has been identified.

(PLN 000s)	***01.01.2023-30.09.2023***	***01.01.2022-30.09.2022***
Revenue on sales of products and services	2,229,906	1,563,003
Revenue on sales of goods and materials	16,738,396	12,545,716
Total	**18,968,302**	**14,108,719**

[3] BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	***01.01.2023-30.09.2023***	***01.01.2022-30.09.2022***	***01.07.2023-30.09.2023***	***01.07.2022-30.09.2022***
Sales revenue	18,968,302	14,108,719	6,875,330	5,367,782
Cost of sales	(14,577,958)	(10,660,472)	(5,282,407)	(4,080,600)
Gross profit on sales	**4,390,344**	**3,448,247**	**1,592,923**	**1,287,182**
Other operating income	9,736	7,647	3,361	2,264
Sales and marketing expenses	(2,857,766)	(2,241,898)	(989,032)	(785,586)
General administration expenses	(120,279)	(103,815)	(47,025)	(39,784)
Other operating expenses	(5,734)	(10,091)	(1,732)	(4,552)
Operating profit	**1,416,301**	**1,100,090**	**558,495**	**459,524**
Financial income	7,697	2,505	2,906	1,213
Financial expenses	(118,753)	(106,104)	(37,857)	(41,530)
Profit before tax	**1,305,245**	**996,491**	**523,544**	**419,207**
Income tax	(248,363)	(192,608)	(99,509)	(79,837)
Net profit	**1,056,882**	**803,883**	**424,035**	**339,370**
Profit attributable:				
To owners of the parent	1,056,882	803,883	424,035	339,370
Earnings per share:				
– basic earnings from profit attributable to owners of the parent	10.78	8.20	4.33	3.46
– diluted earnings from profit attributable to owners of the parent	10.78	8.20	4.33	3.46

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	***01.01.2023-30.09.2023***	***01.01.2022-30.09.2022***	***01.07.2023-30.09.2023***	***01.07.2022-30.09.2022***
Net profit for the reporting period	**1,056,882**	**803,883**	**424,035**	**339,370**
Items not subject to reclassification to profit in subsequent reporting periods:				
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	**-**	**-**	**-**	**-**
Net other comprehensive income	**-**	**-**	**-**	**-**
Comprehensive income in the reporting period	**1,056,882**	**803,883**	**424,035**	**339,370**
Comprehensive income attributable:				
To owners of the parent	1,056,882	803,883	424,035	339,370

3.3. Condensed consolidated statement of financial position

as at 30 September 2023 (PLN 000s)

(in thousands of PLN)	*30.09.2023*	*30.06.2023*	*31.12.2022*	*30.09.2022*
ASSETS				
Property, plant and equipment	6,638,146	6,417,838	6,070,032	5,791,292
Right-of-use assets	100,417	108,249	105,116	124,850
Intangible assets	92,409	93,767	94,737	95,872
Deferred tax assets	25,473	25,227	26,468	26,939
Total non-current assets	**6,856,445**	**6,645,081**	**6,296,353**	**6,038,953**
Inventories	1,973,446	1,957,737	1,978,778	1,558,025
Trade and other receivables	197,293	220,004	274,872	135,170
Other non-financial assets	90,670	103,928	69,096	68,946
Other financial assets	1,251	1,162	1,242	1,332
Cash and cash equivalents	638,571	479,168	382,718	465,446
Total current assets	**2,901,231**	**2,761,999**	**2,706,706**	**2,228,919**
TOTAL ASSETS	**9,757,676**	**9,407,080**	**9,003,059**	**8,267,872**
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	**5,260,665**	**4,836,630**	**4,203,783**	**3,874,073**
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	4,649,963	4,649,963	3,512,022	3,512,021
Retained earnings	593,398	169,363	674,457	344,748
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	**5,260,665**	**4,836,630**	**4,203,783**	**3,874,073**
Loans and borrowings	533,064	597,808	690,862	815,121
Lease liabilities	35,677	37,213	34,673	36,636
Liabilities by virtue of outstanding securities	370,000	370,000	370,000	620,000
Other liabilities	90	120	120	120
Provisions for employee benefits	5,794	5,794	5,794	4,827
Deferred tax liability	42,255	43,477	7,700	23,412
Total non-current liabilities	**986,880**	**1,054,412**	**1,109,149**	**1,500,117**
Trade and other payables	2,707,649	2,726,956	2,794,077	2,375,970
Loans and borrowings	334,768	364,475	410,157	346,105
Lease liabilities	16,166	17,166	17,893	21,130
Liabilities by virtue of outstanding securities	260,387	259,993	260,947	8,553
Income tax liabilities	89,960	35,912	120,034	62,088
Accruals and deferred revenue	100,236	110,571	86,054	77,892
Provisions for employee benefits	965	965	965	1,944
Total current liabilities	**3,510,131**	**3,516,038**	**3,690,127**	**2,893,682**
Total liabilities	**4,497,011**	**4,570,450**	**4,799,276**	**4,393,799**
TOTAL EQUITY AND LIABILITIES	**9,757,676**	**9,407,080**	**9,003,059**	**8,267,872**

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	*01.01.2023-30.09.2023*	*01.01.2022-30.09.2022*	*01.07.2023-30.09.2023*	*01.07.2022-30.09.2022*
Cash flow from operating activities				
Profit before tax	*1,305,245*	*996,491*	*523,544*	*419,207*
Adjustments for the line items:	*152,996*	*(86,738)*	*44,046*	*41,665*
Depreciation and amortization	262,844	219,373	91,005	76,517
(Profit)/loss on investment activity	4,282	7,884	1,279	3,663
Movement in trade receivables and other receivables	80,230	5,602	8,134	(13,082)
Movement in inventories	5,332	(184,562)	(15,709)	(25,631)
Movement in liabilities, except for loans and borrowings	(54,684)	(34,148)	(44,640)	(1,411)
Interest revenue	(7,009)	(2,505)	(3,176)	(1,213)
Interest expense	118,637	105,595	37,814	41,395
Movement in prepayments, accruals and deferred revenue	(13,646)	(3,896)	16,251	1,112
Income tax paid	(242,990)	(200,081)	(46,912)	(39,685)
Net cash from operating activities	**1,458,241**	**909,753**	**567,590**	**460,872**
Cash flow from investing activities				
Sale of property, plant and equipment and intangible assets	5,108	4,883	4,284	3,059
Purchase of property, plant and equipment and intangible assets	(846,049)	(1,124,627)	(277,466)	(397,703)
Interest received	7,009	2,505	3,176	1,213
Repayment of extended borrowings	1,373	1,267	441	458
Granting of loans	(1,383)	(1,270)	(531)	(313)
Net cash from investing activities	**(833,942)**	**(1,117,242)**	**(270,096)**	**(393,286)**
Cash flow from financing activities				
Payment of lease liabilities	(17,182)	(22,127)	(5,432)	(7,086)
Loan proceeds	46,160	640,865	70	256,148
Repayment of loans	(279,347)	(258,823)	(94,521)	(132,967)
Redemption of debt securities	-	(170,000)	-	-
Interest paid	(118,077)	(105,595)	(38,208)	(41,395)
Net cash from financing activities	**(368,446)**	**254,320**	**(138,091)**	**244,700**
Net increase in cash and cash equivalents	255,853	46,831	159,403	312,286
Cash at the beginning of the period	**382,718**	**418,615**	**479,168**	**153,160**
Cash at the end of the period	**638,571**	**465,446**	**638,571**	**465,446**

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	*Attributable to owners of the parent*				
	Share capital	*Supplementary capital*	*Retained earnings*	*Other equity*	*Total*
As at 1 January 2022	**9,804**	**2,707,720**	**345,166**	**7,500**	**3,070,190**
Net profit for the 9-month period of 2022	-	-	803,883	-	803,883
Net other comprehensive income for the 9-month period of 2022	-	-	-	-	-
Comprehensive income for the year	-	-	*803,883*	-	*803,883*
Distribution of the 2021 financial result	-	*804,301*	*(804,301)*	-	-
As at 30 September 2022	**9,804**	**3,512,021**	**344,748**	**7,500**	**3,874,073**
As at 1 January 2022	**9,804**	**2,707,720**	**345,166**	**7,500**	**3,070,190**
Net profit for 2022	-	-	1,132,087	-	1,132,087
Net other comprehensive income for 2022	-	-	1,506	-	1,506
Comprehensive income for the year	-	-	*1,133,593*	-	*1,133,593*
Distribution of the 2021 financial result	-	804,302	(804,302)	-	-
As at 31 December 2022	**9,804**	**3,512,022**	**674,457**	**7,500**	**4,203,783**
As at 1 January 2023	**9,804**	**3,512,022**	**674,457**	**7,500**	**4,203,783**
Net profit for the 9-month period of 2023	-	-	1,056,882	-	1,056,882
Net other comprehensive income for the 9-month period of 2023	-	-	-	-	-
Comprehensive income for the year	-	-	*1,056,882*	-	*1,056,882*
Distribution of the 2022 financial result	-	1,137,941	(1,137,941)	-	-
As at 30 September 2023	**9,804**	**4,649,963**	**593,398**	**7,500**	**5,260,665**

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	01.01.2023-30.09.2023	01.01.2022-30.09.2022	01.01.2023-30.09.2023	01.01.2022-30.09.2022
Sales revenue	18,960,147	14,067,190	4,142,212	3,000,680
Operating profit	1,213,106	913,244	265,027	194,805
Profit before tax	1,112,811	801,250	243,115	170,915
Net profit	900,297	647,284	196,687	138,073
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	9.18	6.60	2.01	1.41
Cash flow from operating activities	1,264,481	747,682	276,250	159,488
Cash flow from investing activities	(1,041,040)	(874,818)	(227,435)	(186,608)
Cash flow from financing activities	54,419	189,227	11,889	40,364
Net change in cash and cash equivalents	277,860	62,091	60,704	13,245

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2023:	4.5773
- NBP's average exchange rate for Q1-Q3 2022:	4.6880

	PLN 000s		EUR 000s*	
	30.09.2023	31.12.2022	30.09.2023	31.12.2022
Total assets	9,027,504	8,301,811	1,947,429	1,770,147
Total non-current assets	5,950,843	5,454,529	1,283,727	1,163,037
Total current assets	3,076,661	2,847,282	663,703	607,109
Equity	4,102,307	3,202,010	884,957	682,746
Share capital	9,804	9,804	2,115	2,090
Non-current liabilities	787,139	911,067	169,803	194,261
Current liabilities	3,891,662	4,011,985	839,516	855,452

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP’s average exchange rate as at 30 September 2023:	4.6356
- NBP’s average exchange rate as at 31 December 2022:	4.6899

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	*01.01.2023-30.09.2023*	*01.01.2022-30.09.2022*	*01.07.2023-30.09.2023*	*01.07.2022-30.09.2022*
A. Net revenues on sales and equivalents of which:	**18,960,147**	**14,067,190**	**6,863,786**	**5,350,521**
I. Net revenue on sales of products	97,193	35,098	33,597	12,292
IV. Net revenue on sales of goods and materials	18,862,954	14,032,092	6,830,189	5,338,229
B. Operating expenses	**17,749,706**	**13,151,382**	**6,383,449**	**4,959,029**
I. Depreciation and amortization	204,983	169,525	70,987	59,426
II. Consumption of materials and energy	338,354	245,140	110,604	88,880
III. External services	706,359	574,066	273,980	201,925
IV. Taxes and fees	329,942	240,546	116,729	87,705
V. Employee benefits	1,529,278	1,154,476	529,636	397,658
VI. Social security and other benefits	351,169	274,348	123,670	99,095
VII. Other costs by nature	79,693	55,053	31,061	22,725
VIII. Cost of goods and materials sold	14,209,928	10,438,228	5,126,782	4,001,615
C. Sales profit (loss) (A – B)	**1,210,441**	**915,808**	**480,337**	**391,492**
D. Other operating income	8,334	6,546	2,767	1,993
E. Other operating expenses	5,669	9,110	1,686	4,147
F. Operating profit (loss) (C+D-E)	**1,213,106**	**913,244**	**481,418**	**389,338**
G. Financial income	23,606	3,654	9,150	1,466
H. Financial expenses	123,901	115,648	40,339	37,120
I. Profit / (loss) before tax (F + G - H)	**1,112,811**	**801,250**	**450,229**	**353,684**
J. Income tax	212,514	153,966	86,263	67,659
K. Other compulsory reductions in profit (increases in losses)	-	-	-	-
L. Net profit (loss) (I – J – K)	**900,297**	**647,284**	**363,966**	**286,025**

4.3. Condensed standalone balance sheet

as at 30 September 2023 (PLN 000s)

(in thousands of PLN)	*30.09.2023*	*30.06.2023*	*31.12.2022*	*30.09.2022*
Assets				
A. Non-current assets	**5,950,843**	**5,788,520**	**5,454,529**	**5,264,164**
I. Intangible assets	15,221	16,743	18,880	20,101
II. Property, plant and equipment	5,067,823	4,912,335	4,590,202	4,406,317
III. Non-current receivables	-	-	-	-
IV. Non-current investments	755,831	755,831	755,831	755,831
V. Non-current prepayments and accruals	111,968	103,611	89,616	81,915
B. Current assets	**3,076,661**	**2,918,063**	**2,847,282**	**2,190,432**
I. Inventories	1,890,263	1,866,203	1,918,269	1,502,362
II. Current receivables	251,728	271,536	335,969	168,089
III. Current investments	908,842	731,451	587,673	497,256
IV. Current prepayments and accruals	25,828	48,873	5,371	22,725
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	**9,027,504**	**8,706,583**	**8,301,811**	**7,454,596**

(in thousands of PLN)	*30.09.2023*	*30.06.2023*	*31.12.2022*	*30.09.2022*
Equity and liabilities				
A. Equity	**4,102,307**	**3,738,341**	**3,202,010**	**2,954,708**
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	3,161,858	3,161,858	2,267,272	2,267,272
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	-	-	-
VI. Net profit (loss)	900,297	536,331	894,586	647,284
VII. Other items of equity	30,348	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-	-
B. Liabilities and provisions for liabilities	**4,925,197**	**4,968,242**	**5,099,801**	**4,499,888**
I. Provisions for liabilities	154,474	148,111	98,665	108,012
II. Non-current liabilities	787,139	844,777	911,067	1,281,128
III. Current liabilities	3,891,662	3,872,709	4,011,985	3,044,622
IV. Accruals and deferred revenue	91,922	102,645	78,084	66,126
Total liabilities and equity	**9,027,504**	**8,706,583**	**8,301,811**	**7,454,596**

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	*01.01.2023-30.09.2023*	*01.01.2022-30.09.2022*	*01.07.2023-30.09.2023*	*01.07.2022-30.09.2022*
A. Cash flow from operating activities				
I. Net profit (loss)	**900,297**	**647,284**	**363,966**	**286,025**
II. Total adjustments	**364,184**	**100,398**	**100,865**	**131,964**
1. Depreciation and amortization	204,983	169,525	70,987	59,426
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	100,398	97,089	30,605	34,755
4. Profit (loss) on investing activity	4,283	7,945	1,269	3,653
5. Movement in provisions	55,809	40,358	6,363	5,935
6. Movement in inventories	28,006	(158,059)	(24,060)	(12,680)
7. Movement in receivables	80,837	14,940	11,280	(12,622)
8. Movement in current liabilities, except for loans and borrowings	(81,161)	(48,618)	456	60,960
9. Movement in prepayments, accruals and deferred revenue	(28,971)	(22,782)	3,965	(7,463)
III. Net cash flow from operating activities (I±II)	**1,264,481**	**747,682**	**464,831**	**417,989**
B. Cash flow from investing activities				
I. Inflows	**7,544**	**382,924**	**4,866**	**211,923**
1. Sale of intangible assets and property, plant and equipment	1,634	21,257	608	4,031
3. From financial assets, of which:	5,910	361,667	4,258	207,892
a) in related entities	1,500	360,919	1,500	207,442
b) in other entities	4,410	748	2,758	450
- interest	4,410	748	2,758	450
II. Outflows	**(776,584)**	**(1,257,742)**	**(253,697)**	**(583,118)**
1. Purchase of intangible assets and property, plant and equipment	(696,784)	(997,786)	(213,397)	(344,331)
3. Towards financial assets, of which:	(79,800)	(259,956)	(40,300)	(238,787)
a) in related entities	(79,800)	(259,956)	(40,300)	(238,787)
III. Net cash flow from investing activities (I+II)	**(769,040)**	**(874,818)**	**(248,831)**	**(371,195)**
C. Cash flow from financing activities				
I. Inflows	**54,419**	**673,312**	**8,329**	**425,595**
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-	-	-
2. Loans and borrowings	54,233	503,312	8,143	255,595
3. Issue of debt securities	-	170,000	-	170,000
4. Other financial proceeds	186	-	186	-
II. Outflows	**(321,594)**	**(484,085)**	**(92,329)**	**(134,749)**
4. Repayment of loans and borrowings	(179,883)	(189,115)	(59,984)	(95,005)
5. Redemption of debt securities	-	(170,000)	-	-
6. On account of other financial liabilities	-	-	-	-
7. Payment of finance lease liabilities	(2,602)	(10,189)	(580)	(2,907)
8. Interest	(103,036)	(97,574)	(33,907)	(35,356)
9. Other financial expenditures	(36,073)	(17,207)	2,142	(1,481)
III. Net cash from financing activities (I+II)	**(267,175)**	**189,227**	**(84,000)**	**290,846**
D. Total net cash flow (A.III±B.III±C.III)	**228,266**	**62,091**	**132,000**	**337,640**
E. Balance sheet movement in cash, including	**228,266**	**62,091**	**132,000**	**337,640**
F. Cash at the beginning of the period	**342,029**	**380,269**	**438,295**	**104,720**
G. Cash at the end of the period (F±D), including	**570,295**	**442,360**	**570,295**	**442,360**
- restricted cash	76	811	-	716

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2023 to 30 September 2023 (PLN 000s)

(in thousands of PLN)	*01.01.2023-30.09.2023*	*01.01.2022-31.12.2022*	*01.01.2022-30.09.2022*
I. Equity at the beginning of the period (OB)	**3,202,010**	**2,307,424**	**2,307,424**
I.a. Equity at the beginning of the period (OB), adjusted	**3,202,010**	**2,307,424**	**2,307,424**
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	**9,804**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period	2,267,272	1,676,055	1,676,055
2.1. Changes to supplementary capital	894,586	591,217	591,217
(i) increase	894,586	591,217	591,217
- profit distribution	894,586	591,217	591,217
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	**3,161,858**	**2,267,272**	**2,267,272**
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	894,586	591,217	591,217
5.1. Profit brought forward at the beginning of the period	894,586	591,217	591,217
5.2. Profit brought forward at the beginning of the period, adjusted	894,586	591,217	591,217
(i) increase	-	-	-
b) decrease	(894,586)	(591,217)	(591,217)
- profit distribution - transfer to supplementary capital	(894,586)	(591,217)	(591,217)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	**900,297**	**894,586**	**647,284**
a) net profit	900,297	894,586	647,284
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
7. Other items of equity at the end of the period	**30,348**	**30,348**	**30,348**
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	**4,102,307**	**3,202,010**	**2,954,708**
III. Equity after considering the proposed distribution of profits (coverage of losses)	**4,102,307**	**3,202,010**	**2,954,708**

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter "IFRS") published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2023, Item 120) and the executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2022. These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future. The interim (condensed) consolidated financial statements for the period from 1 January 2023 to 30 September 2023 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2023, Item 120) and the executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2022. These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future. The interim (condensed) standalone financial statements for the period from 1 January 2023 to 30 September 2023 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,

- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

(in thousands of PLN)	***30.09.2023***
Equity according to PAS	**4,102,307**
Adjusted depreciation and amortization on account of residual value	1,356
Adjusted depreciation and amortization on account of the separation of components	(12,481)
Adjustment - amortization of trademarks	9,182
Adjustment - lease of fixed assets (IFRS 16)	(6,321)
Equity according to IFRS	**4,094,043**
Net profit according to PAS	**900,297**
Adjusted depreciation and amortization on account of residual value	57
Adjusted depreciation and amortization on account of the separation of components	(2,268)
Adjustment - amortization of trademarks	781
Adjustment - lease of fixed assets (IFRS 16)	1,765
Actuarial gains/losses pertaining to employee benefits	-
Net profit according to IFRS	**900,632**
Other comprehensive income	**-**

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 30 September 2023 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

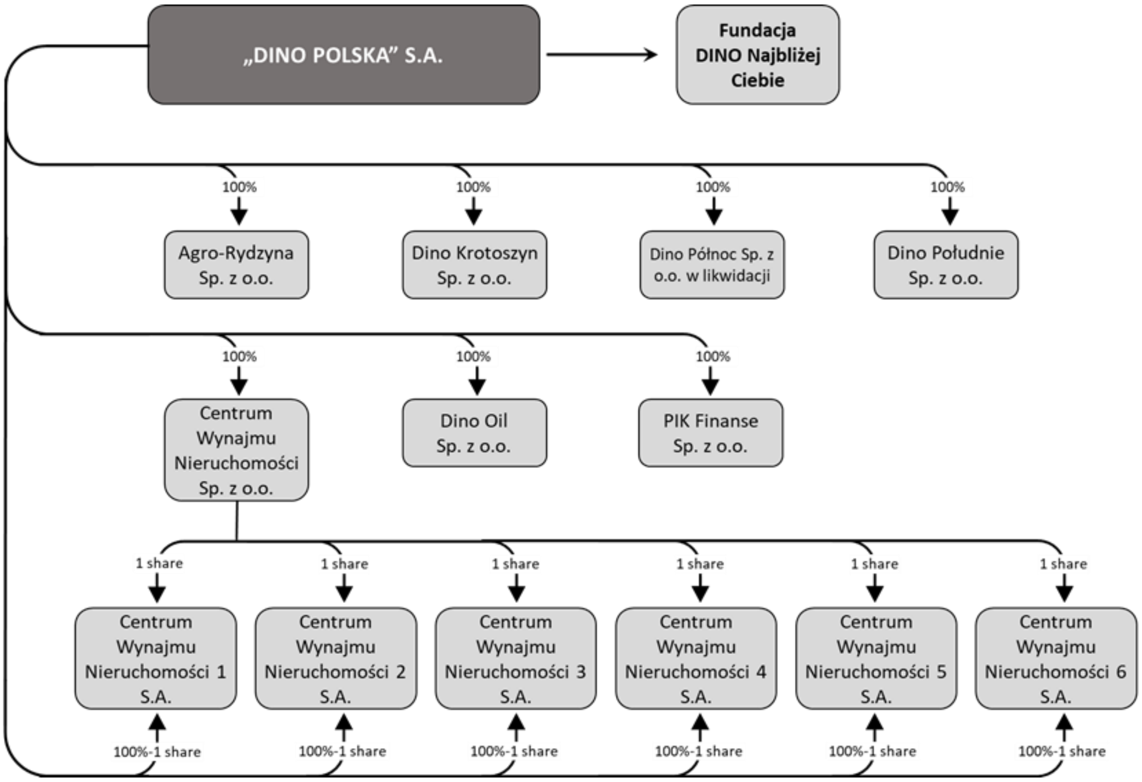
Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer and Management Board Member, Michał Krauze, Chief Financial Officer and Management Board Member and Piotr Ścigała, Chief Control Officer and Management Board Member. The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

The Group consists of DINO POLSKA S.A. and the following subsidiaries:



In 2023 there were no major changes to the organization of the Dino Polska Group.

In 2023 Dino Oil commenced the operations of its first fuel station, which is located on the premises of the Dino distribution center in Łobez. This station serves to meet the needs of Dino's transportation network and is available to the suppliers of goods to this distribution center.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control if it:

- has power over a given entity,
- is subject to exposure, or has rights, to variable returns from its involvement in a given entity,
- has the ability to affect those returns by exercising its power.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control. Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has or does not have the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer.

5.4. Other information

Non-recurring amounts and events

No atypical events affecting Dino Polska's financial statements transpired in the period from 1 January 2023 to 30 September 2023.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	*30.09.2023*	*31.12.2022*	*Change*
Impairment losses on receivables	907	1,600	(693)

Unconsolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	*30.09.2023*	*31.12.2022*	*Change*
Impairment losses on receivables	841	1,534	(693)

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	*30.09.2023*	*31.12.2022*	*Change*
Deferred tax liability	42,255	7,700	34,555
Provision for pension and similar benefits	6,759	6,759	-
	49,014	**14,459**	**34,555**

Unconsolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	*30.09.2023*	*31.12.2022*	*Change*
Deferred tax liability	148,364	92,555	55,809
Provision for pension and similar benefits	6,110	6,110	-
	154,474	**98,665**	**55,809**

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	*30.09.2023*	*31.12.2022*	*Change*
Deferred tax liability	42,255	7,700	34,555
Deferred tax assets	25,473	26,468	(995)
			35,550

Unconsolidated financial data
for the period from 1 January 2023 to 30 September 2023

(PLN 000s)	***30.09.2023***	***31.12.2022***	***Change***
Deferred tax liability	148,364	92,555	55,809
Deferred tax assets	111,968	89,616	22,352
			33,457

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 30 September 2023, the Group incurred capital expenditures of approximately PLN 813 million, including fixed assets under construction (in 2022 this level was roughly PLN 1,090 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 155,997 thousand. At the end of Q3 2022, investment commitments were PLN 178,292 thousand.

Material litigation-related settlements

In the period from 1 January 2023 to 30 September 2023 the Group companies were not party to any material case under a statement of claim launched by or against the companies, which in the opinion of the Management Board of the parent company should be disclosed.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

On 5 October 2023 the Company redeemed series 1/2020 bonds worth a total of PLN 250 million.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 749,884 thousand (as at 30 September 2022: PLN 693,392 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2023.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on an arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

On 17 October 2023 Dino Polska entered into a Preliminary Conditional Share Purchase Agreement and Shareholder Agreement ("Agreement") with the company doing business as eZebra.pl sp. z o.o. with its registered office in Lublin ("eZebra") and its shareholders ("Founders"). Pursuant to the Agreement, by acquiring secondary shares from the Founders and following the registration of a share capital increase in eZebra in which the Company will subscribe for newly-created shares the Company will ultimately be the owner of a 75% equity stake in eZebra ("Shares").

eZebra runs an internet drug store at the ezebra.pl website. It offers an extensive array of cosmetics and perfumes and accessories in the beauty, health, personal hygiene and house and home categories. The Company's intention is to cooperate with the Founders and the eZebra management to further the business development of the eZebra.pl drug store and jointly build competences in e-commerce. The Founders will continue to serve in the eZebra Management Board to oversee the execution of its growth strategy.

According to the Agreement, the Company will assume control over eZebra and its subsidiaries, i.e.: 3Boom sp. z o.o. with its registered office in Lublin ("3BOOM") and JTG Polska sp. z o.o. with its registered office in Lublin ("JTG") which has its own warehouse and renders warehousing and shipping services. The Company will buy the Shares ("Closing Date") provided that the following conditions precedent are fulfilled by 31 March 2024: i) the consent of the President of the Office of Competition and Consumer Protection to acquire the shares is secured, ii) the Founders obtain the consent of JTG's bank lender to execute the aforementioned transaction and perform the other actions required by the agreements with this bank.

The Price for the Shares will be approximately PLN 61 million ("Sales Price"), with PLN 11.5 million forming a contribution to eZebra made by the Company subscribing for new shares in eZebra's share capital to support its ongoing development, while approximately PLN 49.5 million will constitute the payment made by the Company to the Founders for the secondary shares. The Sales Price will be adjusted by net debt and the difference in the share capital of eZebra, JTG and 3BOOM on the Closing Date. Pursuant to the Agreement, the Founders have granted a call option (Call Option) to the Company to acquire the remaining 25% equity stake in eZebra, and the Founders have a put option (Put Option) to sell it to the Company. The Call and Put Options will be in force for 6 months following the elapse of 5 years and 6 months (for the Call Option) and 5 years and 9 months (for the Put Option) from the Closing Date.

The Price for the shares under these options has been set as 25% of the product of eZebra's EBITDA in the year preceding the execution of the option and the multiplier of 9 under the Call Option and 8 under the Put Option. In both cases eZebra's net debt will be subtracted from this amount.

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Izabela Biadała – Management Board Member ………………………………………

Michał Krauze – Management Board Member ………………………………………

Piotr Ścigała – Management Board Member …………………………………………

Krotoszyn, 2 November 2023